

Subj: USE OF OTHER THAN FULL AND OPEN COMPETITION FOR AN ACQUISITION UNDER THE SIMPLIFIED ACQUISITION THRESHOLD

I. BACKGROUND:

1. FAR 13.106-1(b)(1)(i) states for purchases not exceeding the simplified acquisition threshold, Contracting Officers may solicit from one source if the Contracting Officer determines that the circumstances of the contract action deem only one source reasonably available (e.g., urgency, exclusive licensing agreements, brand-name or industrial mobilization).

2. As required by FAR 13.106-3(b)(3)(i), this memorandum explains the absence of competition for this acquisition, as only one source will be solicited for this requirement (or for a portion of the requirement) and the requirement is not expected to exceed the simplified acquisition threshold.

II. DESCRIPTION OF ITEM OR SERVICE:

The required service is the continued supply and delivery of diesel fuel to critical infrastructure on the base. This fuel is essential for powering emergency building generators, hot water systems, exhaust system generators, and the Fire Department storage tanks. These systems are vital for maintaining operational readiness and safety at the base at Commander Fleet Activities Sasebo (CFAS).

The previous diesel contract expired on 30 NOV 2024 and was procured through NAVSUP FLCY. On 7 OCT 2024 NAVSUP FLCY informed the NAVFAC FE PWD Sasebo Material Support Team that NAVSUP FLCY will no longer support this service. NAVFAC reached out to DLA for support but as of 2 DEC 2024, DLA has been unable to provide fuel services. Considering NAVFAC FE PWD Contracting Branch received approval from DLA to procure up to 20,000 gallons of diesel fuel, this planned requirement is to procure diesel fuel through MASUMOTO SEKIYU CO. to ensure an uninterrupted supply of fuel which is essential to maintain the operations of critical facilities at CFAS.

MASUMOTO SEKIYU CO. is the incumbent contractor and has the knowledge, infrastructure, access, and capacity to meet the specific needs of the base, including compliance with safety, quality standards, as well as the required delivery schedule. No other supplier is currently mobilized and has the specific logistical capabilities and expertise as the incumbent.

III. THE DETERMINATION FOR USE OF OTHER THAN FULL AND OPEN COMPETITION IS BASED ON THE FOLLOWING :

A. ___ ONLY ONE RESPONSIBLE SOURCE (select all that apply):

1. ___ RESTRICTIVE RIGHTS. The source has established proprietary rights, limited rights in data, patent rights, copyrights or secret processes in the item or service required.
2. ___ EXCLUSIVE LICENSING AGREEMENTS. The item or service is only available from the Original Equipment Manufacturer (OEM), or there is only one authorized distributor or technical representative for the OEM.
3. ___ OTHER REASONS. *Other reason not identified above. Provide details on mission impact if requirement is not solicited from only one source.*

B. ___ BRAND NAME. Item required must be a brand name product, or feature of a product, particular to one manufacturer.

C. X UNUSUAL AND COMPELLING URGENCY. The supplies or services are of such unusual and compelling urgency that the Government would be seriously injured unless the agency is permitted to limit the number of sources from which it solicits bids or proposals. Urgent requirements are supplies or services that will result in a work stoppage, or are mission critical and the routine processing time would result in injury to the Government. The determination that the procurement for the above item/service is an urgent and compelling requirement is based on the following:

1. Date on which the requirement was first identified: 7 OCT 2024

2. Required delivery date/period of performance: ASAP

3. Explanation of why delivery/commencement of services by the date mentioned above is required:

An immediate contract to MASUMOTO SEKIYU CO. to provide uninterrupted supply of fuel is essential to maintain the operations of critical facilities at CFAS. Without diesel fuel services, fuel deliveries will be disrupted and emergency generators will have no power leading to operational delays, an inability to support key areas, and defend the base during power outages. Timely commencement of services is crucial to avoid any interruption in services, ensure smooth day-to-day operations, and support the continued functionality of essential equipment and infrastructure which is tied to life and safety concerns.

4. If appropriate, include any additional pertinent information.

MASUMOTO SEKIYU CO. is recommended as the contractor for this urgent requirement due to their extensive experience as the contractor for diesel fuel for over 10 years. As the incumbent contractor, MASUMOTO SKIYU CO. already has base access, is fully mobilized, and possesses the logistical capabilities and expertise required to meet fuel deliveries across

CFAS. Sole sourcing to MASUMOTO SEKIYU CO. is essential to supporting CFAS's mission in ensuring uninterrupted diesel fuel services. The team wants to note the following:

- MASUMOTO SEKIYU CO. is the only contractor that manufactured a specific cam-lock device that allows them to refuel across all stations on base. If another company is selected, there will be a delay in getting another part manufactured to the same specifications before they can start supporting CFAS with fuel.
- Sourcing to another company will result in delays due to requirements for base access. Access is required for restricted areas (i.e. Maebata) and includes contractor owned vehicles. Considering this, processing a new contractor's base access can take up to 8 to 12 months. MASUMOTO SEKIYU CO. already has base access for personnel and its vehicles throughout CFAS including its restricted areas where the fuel tanks are located.
- Additionally, engaging a new contractor would require both the contractor and the government to invest significant time in escorting and familiarizing the contractor with each area, including the locations of all tanks. This process would be time-consuming for the government, as they would need to guide the contractor through all relevant areas to ensure proper understanding. MASUMOTO SEKIYU CO. has the logistical knowledge and expertise which means the contractor is already familiar with the fueling areas across CFAS. The contractor is already mobilized and ready to take on this work.

IV. CERTIFICATIONS/APPROVALS:

Technical / Requirements Certification: I certify that the facts and representation under my cognizance which are included in this justification are complete and accurate to the best of my knowledge and belief.

_____	<u>252-3390</u>	_____
Jaton Santos	DSN	Date
Supervisor Supply Management Specialist		
NAVFAC FE PWD Sasebo		

Contracting Officer Approval

I certify that this Justification is accurate and complete to the best of my knowledge and belief.

_____	_____
Elaine P. Jolliff	Date
Contracting Officer	
NAVFAC FE PWD Sasebo	
AUG 2018	